



A couple of years ago, I had occasion to spend time in Kuwait and Bahrain with MTC, the mobile phone giant originating in Kuwait but with a footprint across the Middle

East and Africa. MTC was subsequently renamed Zain, and is now in the news as India's Bharti acquires its African assets. During this sojourn, I delved into how Zain adapted to environments that had a predominantly low-disposable income clientele, but were also places where unrest, even wartime conditions, made it difficult to operate.

Zain's operations in Iraq were particularly interesting. As the then CEO Saad Al-Barrak told me in 2008 of Zain's Iraqi operations, "We have a small army... that has 1,100 security guards. They guard our operations and branches as well as our sites and bay stations and switches in order to make sure that nobody sabotages the network."

Clearly, Zain never intended to be a security company, but it transpired that there was no option but to develop this competence; in a sense, Zain engaged in a limited diversification to compensate for the void created by the Iraqi state's inadequate provisions for security, and inadequately addressed by private specialist security companies. This idea of stepping outside one's corporate core while often anathema in management circles witness well-intentioned admonitions to 'stick to your knitting' are eminently sensible when one thinks of particular circumstances in emerging markets. Had Zain stuck to its knitting and refused to provide security services in Iraq, there would be no knitting to speak of soon enough.

Of course, the general provision of functions in service of one's core operations, when the specialist

Right Foot FORWARD

Social responsibility is no longer a myth. It is a reality that the corporates today wilfully embrace.

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services are unavailable in the market, is not unique to Zain, its industry or to the Middle East or Africa. One has only to look at company towns the world over. For example, Jamshedpur (Tatanagar) in Jharkhand was built around 1919 around Tata's steel efforts, American chocolate company Hershey gave its name in 1906 to the eponymous township in rural Pennsylvania and Volkswagen's efforts in Lower Saxony in Germany gave rise to the town of Wolfsburg in 1945. In each of these cases, the companies had to compensate for what my colleague Krishna Palepu and I have called institutional voids, that is the operations had to adjust to the missing institutions that would normally provide a range of services

COMPANIES OPERATE WITH AN IMPLICIT SOCIETAL COMPACT, AND PART OF THAT COMPACT IS TO RESPOND IN TIMES OF NEED WHEN NO OTHER INSTITUTIONAL MECHANISM—NAMELY THE STATE AND CIVIL SOCIETY—ARE OPERATIVE.

